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CUET UG

Business Studies

Principles of Management

Official Syllabus Unit II · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Business Studies syllabus 2026, the current 2027 baseline, Unit II)	Skills the questions test
Principles — meaning, nature, significance	Principles of Management – meaning, nature and significance.	Recalling that principles are general guidelines formed by practice, listing the nature features (universal, flexible, behavioural, contingent…), and matching each significance point to a situation.
Fayol's principles	Fayol's principles of management.	Naming all fourteen principles, attaching the right one-line meaning and example, and separating the near-twins (unity of command vs unity of direction; scalar chain vs gang plank).
Taylor's Scientific Management	Taylor's Scientific Management – Principles and Techniques.	Stating the four principles (science not rule of thumb, harmony, cooperation, development of each person) and pairing each technique — functional foremanship, standardisation, method, motion, time study, differential piece wage — with its purpose.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. Unit II supplies the largest ready-made list in the subject — fourteen Fayol principles plus Taylor's four principles and six techniques — and questions repeatedly test which name goes with which idea.

What Principles of Management Are

By the end of the nineteenth century, managers had been running factories, banks and railways for generations — each solving the same problems in their own way, and each rediscovering yesterday's lessons. Management principles are what happen when those repeated lessons are written down carefully: **general guidelines** that tell a manager how to decide and act in situations that keep repeating. They are not laws of physics and not step-by-step recipes — think of them as the collected judgment of thousands of managers, packaged so that you do not have to learn every lesson the expensive way.

- **Meaning:** principles of management are broad and general guidelines for managerial decision-making and behaviour — they tell a manager **what usually works**, not exactly **what to do at 3 p.m. on Tuesday**.
- **Not readymade answers:** two branches of the same chain may apply the same principle differently — one centralises pricing at headquarters, another lets each store decide — because principles are applied with judgment.
- **Formed in two ways:** some grew out of the **experience** of practising managers, others out of systematic **study and observation**; both routes mix in every principle.
- **Their purpose:** guide decisions, shape management **training and education**, and help an organisation use resources well and adapt to change.

The nature of management principles

Each feature below is a favourite one-mark item; learn the label and its one-line reason together.

- **Universal applicability:** they work in business firms, hospitals, schools, clubs and government offices — the setting changes, the principle holds.
- **General guidelines:** they point the direction but do not prescribe the exact action; the manager's judgment fills the details.
- **Formed by practice and experimentation:** managers' collected experience and deliberate study both feed them — they are not invented on a whiteboard.
- **Flexible:** they bend to circumstances; a strict rule about discipline in a factory may soften for a creative design studio.
- **Mainly behavioural:** they deal with **people** — their actions, motives and teamwork — more than with machines or money.
- **Cause and effect:** each principle states what follows from what — fair remuneration (cause) tends to produce satisfied employees (effect).
- **Contingent:** their application depends on the prevailing situation; what is right in a crisis is different from what is right in stable times.

Why the principles matter — significance

- **Meeting changing environment requirements:** flexible principles help managers adapt plans and behaviour as markets, technology and laws shift.
- **Insight into the role of management:** the principles show **what managers actually do** — decide, coordinate, lead — and clarify the profession's foundations.
- **Training and development:** management courses, MBAs and training modules are built on these principles; they are the syllabus of becoming a manager.

- **Optimum utilisation of resources:** following the principles aligns people and processes so that both human and material resources produce their best.
- **Scientific decisions:** principles push managers to decide with balanced judgment and a method, not by hunch or impulse.
- **Coordination and discipline:** principles such as unity of command and subordination of individual interest keep many people moving as one.

NATURE OF PRINCIPLES — THE SEVEN LABELS

- **Universal · General guidelines · Formed by practice · Flexible · Behavioural · Cause and effect · Contingent.**

EVERYDAY EXAMPLE — LEARNING TO COOK

A cookbook principle like "season hot food, taste before serving" is a **general guideline** — it applies to almost every dish (universal), but you still adjust the salt for your family's taste (flexible, contingent), and you learned it from repeated cooking, not from a lab (formed by practice). It will not chop the onions for you — judgment and skill still do the work. Management principles guide managers exactly the way cooking principles guide cooks.

Fayol's Principles of Management

Henri Fayol (1841–1925) ran large French mining companies for thirty years — first as an engineer, then as managing director — and wrote down the lessons in his book **General and Industrial Management** (1916). Because he observed management from the **top** — the whole organisation — his fourteen principles are broad rules for running any organisation, and questions love testing whether you can attach the right example to each.

Principles 1 to 7

- **1. Division of Work:** split work into specialised tasks so that familiarity brings speed and accuracy — a worker who polishes only headlights polishes them faster and better than one who polishes everything. Specialisation reduces effort and wasted motion.
- **2. Authority and Responsibility:** the power to give orders (authority) must match the duty to perform (responsibility). Authority without responsibility breeds bullying; responsibility without authority makes a manager helpless.
- **3. Discipline:** agreements between the organisation and its employees must be honoured — punctuality, obedience to rules, respect. Without discipline no enterprise can prosper; it flows from good supervisors at every level.
- **4. Unity of Command:** every employee should receive orders from **one boss only**. Two bosses over one worker splits loyalty, doubles pressure and blurs accountability.
- **5. Unity of Direction:** activities aimed at the **same objective** should have **one head and one plan** — all advertising of one product line under one marketing head, not scattered across departments.

- **6. Subordination of Individual Interest to General Interest:** the organisation's interest stands above any one person's — including the manager's. Employees must not pursue personal goals at the firm's cost.
- **7. Remuneration:** pay must be **fair** — satisfying both employee and employer. Underpaid workers drift away or slack; the fair level keeps effort and loyalty coming.

Principles 8 to 14

- **8. Centralisation and Decentralisation:** the right balance between keeping decision power at the top (centralisation) and sharing it downward (decentralisation) — the optimum depends on each organisation's size and situation.
- **9. Scalar Chain (and the gang plank):** formal communication follows the ladder of superiors, one rung at a time. For emergencies between **peers**, Fayol allows a shortcut — the **gang plank** — two managers at the same level dealing directly instead of climbing the ladder.
- **10. Order:** a place for everything (material order) and a place for everyone (social order) — the right person in the right job, the right tool in the right place.
- **11. Equity:** managers must treat employees with kind, fair justice — no discrimination by gender, religion or background; equity earns loyalty and devotion.
- **12. Stability of Personnel:** keep employees in their jobs long enough to master them; frequent transfers and turnover waste the training already invested.
- **13. Initiative:** encourage employees to think out, suggest and carry out plans — it energises them and often produces ideas the top never imagined.
- **14. Esprit de Corps:** build **team spirit** — "union is strength". One manager, one message; use verbal contact instead of misunderstanding-rich written notes; never divide the team to rule it.

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THE FOURTEEN — NAME AND TRIGGER, HALF-LINE EACH

1. **Division of Work** — specialise. 2. **Authority–Responsibility** — power matches duty. 3. **Discipline** — agreements honoured. 4. **Unity of Command** — one boss per worker. 5. **Unity of Direction** — one head, one plan per objective. 6. **Subordination of Individual Interest** — firm first. 7. **Remuneration** — fair pay. 8. **Centralisation–Decentralisation** — the right balance. 9. **Scalar Chain** — the ladder; **gang plank** shortcut. 10. **Order** — a place for all. 11. **Equity** — kind fairness. 12. **Stability of Personnel** — no frequent transfers. 13. **Initiative** — invite suggestions. 14. **Esprit de Corps** — team spirit.

Taylor's Scientific Management

Fredrick Winslow Taylor (1856–1915) started as a shop-floor worker in a American manufacturing company and rose to chief engineer — so he watched management from the **bottom**, at the level of workers, shovels and machine tasks. He saw enormous waste: workers using rule-of-thumb methods, slowing down deliberately, with nobody measuring what a day's fair work was. His answer — **scientific management** — replaces guesswork with measurement, observation and standard methods, so that every task is done in the one best way at the one best speed.

- **Scientific management (definition):** the application of scientific methods — observation, measurement, experimentation — to determine the **one best way** of doing any job, and to set fair standards of work and pay.
- **Rule of thumb:** the old habit of deciding methods by tradition, intuition or personal convenience — exactly what Taylor's science replaces.
- **Where it applies:** Taylor's techniques live on the **shop floor** — production, machines, worker tasks. That is the contrast Fayol (whole organisation, top view) and Taylor (production, ground view) build.

Taylor's four principles of scientific management

- **Science, not rule of thumb:** replace inherited habits and guesswork with a scientific study of each task — measure, observe, experiment, then fix the best method.
- **Harmony, not discord:** complete "mental revolution" on both sides — managers must care for workers' wellbeing, workers must care for the firm's prosperity; conflict is replaced by shared purpose.
- **Cooperation, not individualism:** managers and workers work **together** — scientific decisions are shared, suggestions flow up, and both sides gain.
- **Development of each person to their greatest efficiency and prosperity:** select the right person for each job scientifically, then train and develop that person systematically — a developed worker earns more, a capable firm pays more.

Taylor's techniques — the toolbox of scientific management

- **Functional foremanship:** Taylor splits the supervisor's job among **eight** specialist foremen — four who **plan** (route clerk, instruction card clerk, time and cost clerk, disciplinarian) under a planning incharge, and four who **execute** (speed boss, gang boss, repair boss, inspector) under a production incharge. The worker takes daily orders from all eight — specialisation gained, unity of command traded away.
- **Standardisation and simplification:** standard tools, materials, methods and working conditions across the factory; simplification cuts the variety of sizes and products to the essential few — less cost, less confusion.
- **Method study:** find **the one best way** of doing a job — study how materials, tools and movements combine, and design the cheapest, fastest sequence.
- **Motion study:** watch a worker's body movements and remove everything wasteful — bending twice, walking five steps, reaching for tools. The worker keeps only productive motion.
- **Time study:** measure the time a **qualified worker** needs for a standard task with standard tools — that measurement sets the **standard time** and the fair day's work.
- **Differential piece wage system:** pay **different rates per piece** — a higher rate for workers who meet or beat the standard, a lower rate for those below it. The efficient worker visibly earns more, so everyone strives for the standard.

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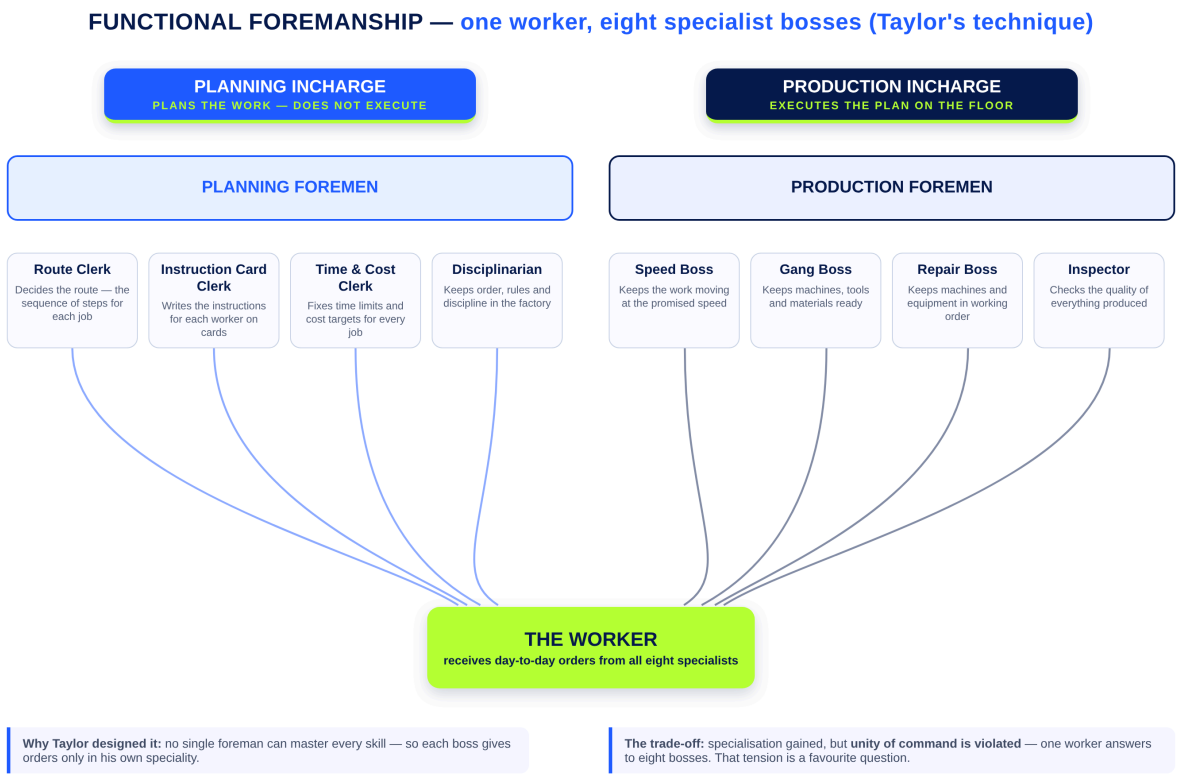


Figure 1: Figure 1 — Taylor's functional foremanship: eight specialist bosses under two incharges, all giving day-to-day orders to one worker — specialisation at the cost of unity of command.

The differential piece wage, with numbers

Worker	Output vs standard (10 units a day)	Pay rate per unit
Efficient worker	Produces 12 units — above the standard	Higher rate, say ₹80 per unit → 12 × 80 = ₹960
Inefficient worker	Produces 8 units — below the standard	Lower rate, say ₹50 per unit → 8 × 50 = ₹400

- **Why it works:** the gap between ₹960 and ₹400 is public and personal — the inefficient worker wants the higher rate, so output rises without any punishment. Reward, not threat, drives the change.

Technique	What it does	Example
Functional foremanship	Splits supervision among eight specialists	Speed boss only worries about pace; inspector only about quality
Standardisation & simplification	Fixes uniform tools, methods, conditions; trims product variety	One standard spanner across all assembly lines
Method study	Designs the one best sequence for a job	Rearranging a workshop so parts travel less

Technique	What it does	Example
Motion study	Removes wasteful body movements	Raising the bin to shoulder height to stop repeated bending
Time study	Sets the standard time for a task	stopwatch shows 20 min per unit → fair day's work = 24 units
Differential piece wage	Two piece-rates reward efficiency	₹80 vs ₹50 per unit, as in the table above

Fayol vs Taylor — Two Lenses on One Subject

Questions constantly cross the two thinkers: whose principle is this, whose technique is that? The safest anchor is **where each man stood**: Fayol ran companies from the top, Taylor improved factories from the floor.

Point	Fayol	Taylor
Standpoint	Top-level management — the whole organisation	Shop-floor — workers, machines, tasks
Focus	General administration of the enterprise	Scientific efficiency of production
Contribution	Fourteen general principles of management	Scientific management: four principles + six techniques
Called	Father of general management	Father of scientific management
Applies to	All organisations, all levels	Mainly production and workshop settings
Personality	Practising CEO writing from thirty years' experience	Engineer experimenting from worker to chief engineer

EVERYDAY EXAMPLE — HEAD COACH AND FITNESS TRAINER

Fayol is the **head coach** of a football club: he sets the season's plan, manages the staff, balances budgets, keeps the whole club pointing one way — his principles apply to everyone from goalkeeper to accountant. Taylor is the **fitness-and-technique trainer**: he times the sprint drills, studies each player's movement, removes wasted steps, and sets measurable targets for every session. The club needs both — one lens for the whole, one for the task.

Key Facts & Terms Cheatsheet

KEY FACTS & TERMS CHEATSHEET — UNIT II (PRINCIPLES OF MANAGEMENT)

Term / fact	What it means	Example / number
Principles (meaning)	General guidelines for managerial decisions and behaviour	Not readymade answers — judgment fills details
Nature (7)	Universal, general, practice-formed, flexible, behavioural, cause-effect, contingent	Same principle, two branches, two applications
Significance (6)	Environment, role of management, training, resources, scientific decisions, coordination	MBAs are built on the principles
Fayol	French mining CEO; book **General and Industrial Management**, 1916; 14 principles	Top-level view of management
Division of Work	Specialise tasks for speed and accuracy	Headlight polisher doing only headlights
Unity of Command	One employee, one boss, one set of orders	Two bosses = split loyalty
Unity of Direction	One head and one plan for each group of activities	All ads for one product under one marketing head
Scalar Chain + gang plank	Formal ladder of communication; emergency shortcut between peers	Two same-level managers talk directly
Esprit de Corps	Team spirit — union is strength	One manager, one message; verbal contact
Taylor	American engineer (worker → chief engineer); scientific management	Shop-floor view of management
Taylor's 4 principles	Science not rule of thumb; harmony; cooperation; develop each person	Mental revolution on both sides
Functional foremanship	8 specialist foremen — 4 planning + 4 production	Worker answers to eight bosses

Term / fact	What it means	Example / number
Method vs motion study	Method = one best way of the whole job; motion = remove wasteful body movements	Raised bin stops repeated bending
Time study	Measures standard time a qualified worker needs	20 min per unit → fair day's work
Differential piece wage	Higher rate at/above standard, lower below	₹80 × 12 = ₹960 vs ₹50 × 8 = ₹400
Fayol vs Taylor anchor	Fayol = top, general administration; Taylor = floor, production efficiency	Head coach vs fitness trainer

Carry everywhere: unity of **command** (one boss) ≠ unity of **direction** (one plan); **gang plank** is an exception, not a separate principle; **time** study measures time, **motion** study removes movement.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	What is right	The why / the trap
"Unity of command and unity of direction are the same"	Command = **one boss per employee**; direction = **one head and one plan per objective group**	Command watches people; direction watches activities — the classic twin trap.
"The gang plank is a fifteenth principle"	It is an **exception to the scalar chain** for emergencies between equals	Fayol's principle is the ladder itself; the plank only cuts across it.
"Time study removes wasteful movements"	Motion study removes movements; **time study measures standard time**	Motion is about how the body moves; time is about how long the task takes.
"Functional foremanship strengthens unity of command"	It **violates** unity of command — one worker receives orders from eight foremen	Taylor traded that unity for specialist expertise; naming the trade-off is the mark of understanding.

The mistake students make	What is right	The why / the trap
"Principles give readymade solutions"	They are **general guidelines** applied with judgment	Same principle, different branches, different applications — contingency decides.
"Taylor's techniques apply to the whole organisation"	They were designed for the **shop floor** — production settings	Fayol covers general administration; Taylor's stopwatch lives in the workshop.
"Principles are rigid like scientific laws"	They are **flexible and contingent**	Human behaviour shifts with situation; principles bend with it — that is why they are 'inexact'.

- **Spot the pattern:** most traps here are **near-twin swaps** — command vs direction, method vs motion, principle vs technique, Fayol vs Taylor. Test each pair aloud while revising.
- **One special case:** when a question describes a situation ("a worker gets a higher rate per piece than his slower colleague"), name the **technique** first, then the **thinker** — differential piece wage, Taylor.

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The Whole Chapter on One Page

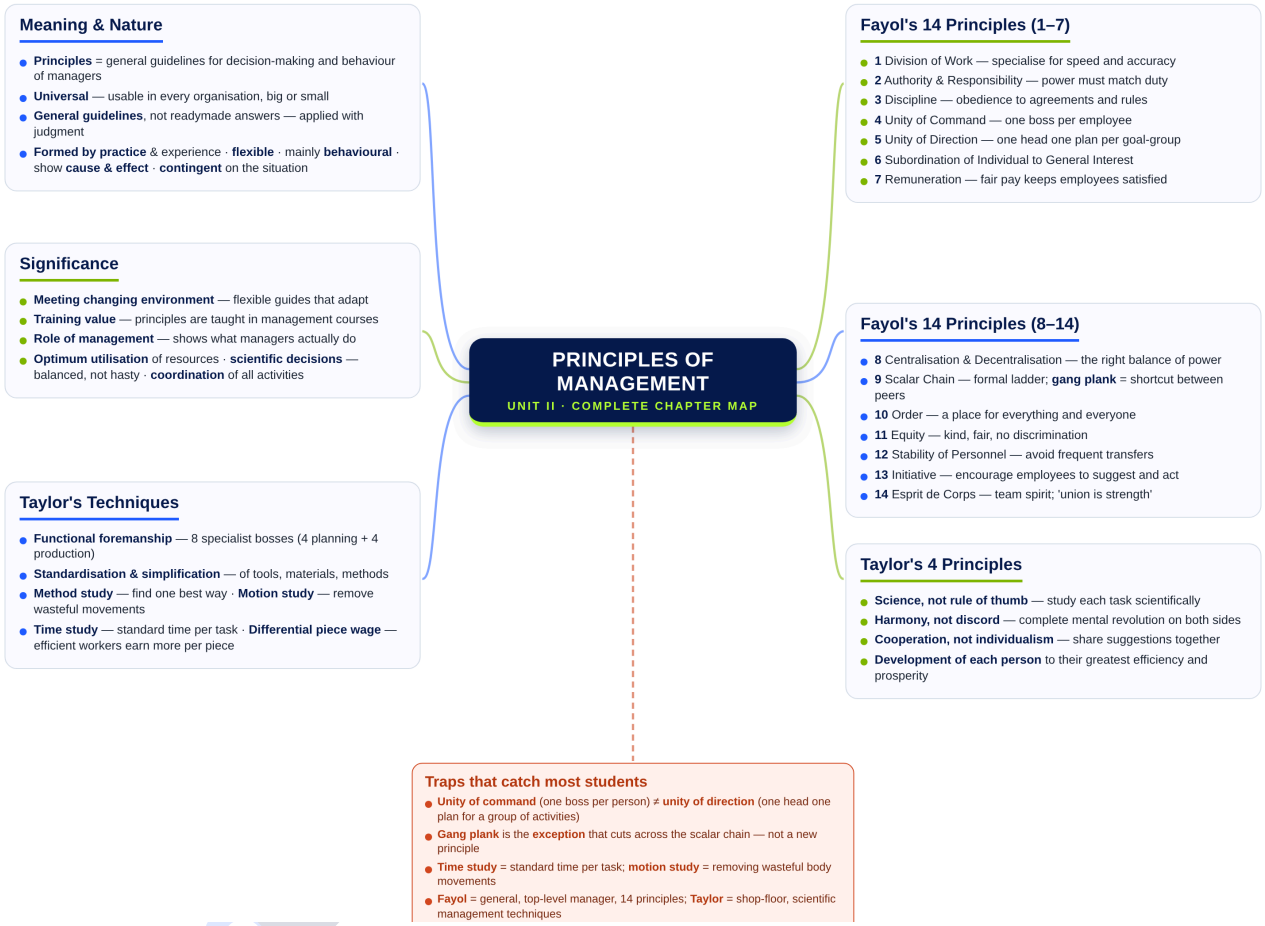


Figure 2: Figure 2 — Whole chapter on one page: meaning and nature, significance, Fayol's fourteen principles, Taylor's four principles and techniques, with the four near-twin traps that catch most students.

Practice Questions

Q1. "Management principles are formed by practice and experimentation rather than invented in a day." This describes which nature feature?

(A) they are universal
(B) they are formed by practice and experience
(C) they are rigid laws
(D) they are mainly financial

Q2. A company appoints one production manager for an entire product line with a single plan under one head. Which principle does this illustrate?

(A) unity of command
(B) unity of direction
(C) scalar chain
(D) esprit de corps

Q3. Two managers of the same rank, from production and purchase, speak directly to settle an emergency supply issue instead of routing through their superiors. This shortcut is called:

(A) centralisation
(B) the gang plank
(C) unity of command
(D) equity

Q4. "Union is strength." Which Fayol principle carries this message?

(A) order
(B) equity
(C) esprit de corps
(D) initiative

Q5. Taylor's technique that measures the standard time a qualified worker needs to complete a standard task is:

(A) method study
(B) motion study
(C) time study
(D) functional foremanship

Q6. A study of a worker's hand and body movements removes an unnecessary repeated bending at the bench. This is:

(A) motion study
(B) time study
(C) standardisation
(D) differential piece wage

Q7. Under the differential piece wage system, a worker producing above the standard:

(A) receives the same rate as every other worker
(B) receives a higher rate per piece than a worker below the standard
(C) is paid a fixed monthly salary
(D) is punished with a fine

Q8. One criticism of functional foremanship is that it:

(A) makes workers too specialised
(B) violates unity of command — one worker answers to eight bosses
(C) abolishes all supervision
(D) removes standard time from the factory

Q9. Which pair correctly matches a Taylor principle with its meaning?

(A) Harmony, not discord — complete mental revolution on both sides
(B) Science, not rule of thumb — keep traditional methods
(C) Cooperation, not individualism — pay different rates
(D) Development of each person — centralise all decisions

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Q10. The safest way to describe the two thinkers is:

(A) both studied only shop-floor production

(B) Fayol gave scientific techniques, Taylor gave 14 principles

(C) Fayol viewed management from the top and gave general principles; Taylor viewed it from the shop floor and gave scientific management

(D) both were American engineers who timed workers

Solutions

Sol. Q1. Principles emerged from managers' repeated experience and from deliberate study and observation — they were **formed by practice and experimentation**. That is also why they stay flexible rather than rigid laws.

Answer: (B)

Sol. Q2. One head, one plan, for a group of activities with the same objective is **unity of direction**. Unity of command is about **one boss per employee** — a people rule, not a plan rule — and scalar chain is the communication ladder.

Answer: (B)

Sol. Q3. Fayol's **gang plank** lets two same-level managers deal directly in an emergency, instead of climbing the scalar chain rung by rung. It is an exception to the chain, not a new principle.

Answer: (B)

Sol. Q4. Esprit de corps — team spirit, "union is strength". Fayol adds the practical advice: one manager, one message, and verbal contact over written notes to avoid misunderstandings.

Answer: (C)

Sol. Q5. Time study measures how long a qualified worker needs for a standard task — that becomes the standard time and the fair day's work. Method study designs the best way; motion study removes wasted movements.

Answer: (C)

Sol. Q6. Studying and eliminating unnecessary body movements is **motion study**. The raised bench in the example is the classic case: the productive motion stays, the wasteful bending goes.

Answer: (A)

Sol. Q7. The differential piece wage pays a **higher rate per piece** to workers at or above standard and a lower rate to those below — e.g. ₹80 × 12 = ₹960 versus ₹50 × 8 = ₹400. Reward, not punishment, drives efficiency.

Answer: (B)

Sol. Q8. Functional foremanship deliberately splits supervision among eight specialists, so the worker takes daily orders from all eight — **unity of command is violated**. Taylor accepted that cost in exchange for expertise.

Answer: (B)

Sol. Q9. Harmony, not discord demands a complete mental revolution on both sides — managers care for workers' wellbeing, workers care for the firm's prosperity. The other options mismatch each principle's meaning.

Answer: (A)

Sol. Q10. The anchor is **where each stood**: Fayol from the top — general administration, fourteen principles; Taylor from the shop floor — production efficiency, scientific management. Neither was American (Fayol was French), and only Taylor gave scientific techniques.

Answer: (C)

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